

credibility in users' minds. Our quick realisation of this helped us tackle proprietary counterparts and get to market early, which gave us an early-mover's advantage among other open source players," says Kanumuru. He adds, "Our CRM was a complete open source solution that then included modules/features like order management, invoices, role-based security, etc, that were not available in other open source products."

But the loss-leader model alone couldn't make the company self-sufficient. Thus, the firm chose to combine it with the 'support sale' model, where there is no charge for the software itself (it was available under a 100 per cent open-source-compliant licence), but there are charges for support services. This model generates revenue through media distribution, branding, training, consulting, custom development, and post-sales support, instead of the traditional software licensing fees. "Initially we made our bucks by offering training, support and customisation services on vtiger CRM. Our model assures enterprises dramatic cost savings of the order of 70-80 per cent over comparable closed-source products, yet keeps us profitable with the ability to be a solid long-term supplier," says Kanumuru.

The mixed strategy worked well for vtiger. Shortly after releasing the first version of vtiger CRM, the company was able to generate interest and strike its first deals. "Our first major deals were implementation projects for insurance major Aegon, and cellphone giant Nokia. In both cases, the client contacted us after trying out the open source product, and we followed up to close the deal. We provided complete support. We offered remote support, and if the need arose, would even log in to their system to troubleshoot and resolve issues. Support included access to a knowledge base with answers to frequently asked questions," says Kanumuru. After the initial taste of success, vtiger gained popularity among small businesses, which purchased their support services and formed the bulk of their clientele in the first few years.

The value-addition route

However, there were a number of hurdles to cross. "The mindset problem of equating 'open source' with 'free', and even expecting support to be free, was an issue with respect to some users. Besides, it was hard to sell support for a product that already has a community willing to support it. We are now focusing on offering value-added services, instead of plain vanilla support," says Kanumuru.

In 2009, vtiger introduced the vtiger extensions marketplace, to offer customers and publishers a common place to find and publish CRM extensions. This year, vtiger is trying to take this further by offering value-added solutions like connectors, hosting services, etc. This model presents a win-win situation, because it makes customers successful while enabling vtiger to enjoy greater product sales to existing and new customers, at an accelerated repurchase/fresh purchase frequency. "We felt the market was changing fast with the introduction of cloud-based services and social networking tools. Through our market place, and the new OnDemand service we are able to meet the evolving needs of our clients



The vtiger team

while continuing to offer the best open source CRM solutions," says Kanumuru.

Today, vtiger offers a complete service package that includes technical support services, installation and system configuration, training and education, customisation services, data migration services, systems integration and vtiger CRM OnDemand service. The client list has broadened to cover diverse industries, with clients such as Eon Products (eonpro.com, manufacturing), Pro-Vigil (pro-vigil.com, security services) and ACFN (www.acfn.info, financial services), to whom the company has provided customised CRM solutions and support, to meet their specific needs.

Plans for the future

In a nutshell, vtiger's success proves that if you have a good product, users readily accept it—but to see escalating bottom lines, one also needs a good strategy to monetise the user base. "We strongly believe that open source can be a win-win business model, especially with the large scale adoption of open source across industries. Education, non-profit, services, manufacturing, media and consulting are some of the key sectors to watch for open source companies," advises Kanumuru.

Looking ahead, vtiger intends to stay focused on the CRM space and work on offering more value-added services. "Our own focus will remain on CRM, and in offering more value-added services like vertical-specific solutions. However, along with that, we do see an increasing opportunity in other related areas, serving small and large businesses in mobile solutions, e-commerce, e-mail marketing, ERP, etc," says Kanumuru. With about 20 employees conducting R&D in multiple domains in their development centre, vtiger might soon be India's Force India, driving on the global open source software circuit. 

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The author loves to experiment and writing for LINUX For You is her latest experiment. So, beware! Just a minute, she also happens to be a journalist during the day.